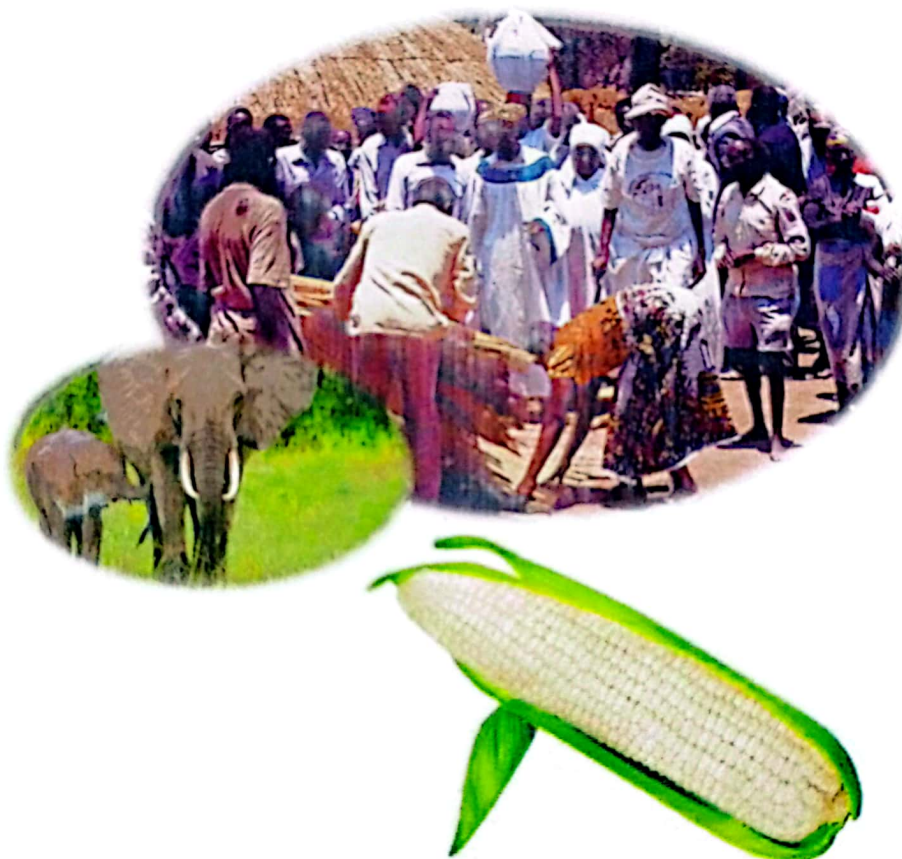


**MINISTRY OF LOCAL GOVERNMENT**  
**LUSANGAZI TOWN COUNCIL**



**FINANCIAL STATEMENT FOR THE YEAR**  
**ENDED 31<sup>st</sup> DECEMBER, 2021**

| <b>TABLE OF CONTENTS</b>                                                       | <b>PAGE</b> |
|--------------------------------------------------------------------------------|-------------|
| Report of the Council                                                          | 2-5         |
| Statement of Responsibilities for Annual Financial Statements                  | 6-6         |
| Independent Auditor's Report                                                   | 7-9         |
| Statement of Cash Receipts and Payments                                        | 10          |
| Statement of Comparison of Budget and Actual Amounts                           | 11          |
| Statement of Cash Receipts and Payments for Local Government Equalisation Fund | 12          |
| Statement of Cash Receipts and Payments for Constituency Development Fund      | 13          |
| Summary of Significant Accounting Policies                                     | 14-19       |
| Notes to the Financial Statements                                              | 20-35       |

## REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31<sup>st</sup> December, 2021 which disclose the sources, utilization and balances of cash for Lusangazi Town Council during the period under review.

### Background and Location of the Council

The Council is located at Village 18 in Masili, Lusangazi District, Eastern Province of Zambia along Ukwimi Road. Lusangazi district was declared a district in April, 2018 under Statutory Instrument no. 26 of 2018, the district was created in order for Government to take development closer to the Local people, through the delivery of Services such as Schools, Hospitals, provision of water and Sanitation and Other Services. Lusangazi was a constituency under Petauke district, the name Lusangazi is derived from the Lusangazi River which means meanders through the district. The district was formally known as Ukwimi Refugee Settlement, the refugees came from different Countries namely Angola, Mozambique and Rwanda.

The district lies approximately within 13°30' latitude and 14°45' longitude, 31° west and 32° east. The district shares district boundaries with Petauke in the south and with Sinda and Mambwe in the north-east, as well as Nyimba and Lavushimanda in Central Province in the north-west. The district has a total surface area of approximately five thousand Two hundred fifty two square kilometres (5,252 km<sup>2</sup>).

The address of the registered office of Lusangazi Town Council (LTC) is as follows:

The Civic Centre  
P O Box 560151  
Ukwimi Road  
**LUSANGAZI**

## REPORT OF THE COUNCIL

### Composition of the Council

Lusangazi Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and incorporated under Cap 281 of 1991 of the Laws of Zambia. As a Local Authority, the Lusangazi Council administers the Lusangazi District.

From January to August 2021, the Council was composed of an elected chairperson, five (5) councillors from four (4) wards and one (1) chiefs as provided for under Article 153 (2) (c) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The current Council is composed of an elected Chairperson, eleven (11) Councillors from the eleven (11) wards. Wards increased from 5 wards to 11 wards after the movement of District boundaries in Nyamphande area, current Council was elected to office on 21 August 2021 to serve a five-year term up to 2026. The vice chairperson was elected from among the councillors in 2023 for a period of two and half years.

The Councilors who held office during the year January to August 2021 were:

| S/N | NAME           | GENDER | POSITION         | WARD           |
|-----|----------------|--------|------------------|----------------|
| 1   | Banda William  | Male   | Chairperson      | Not applicable |
| 2   | Banda William  | Male   | Vice Chairperson | Lusangazi      |
| 3   | Mwanza Million | Male   | Councillor       | Chisangu       |
| 4   | Maumba Kezias  | Male   | Councillor       | Ukwimi         |
| 5   | Mwale Boniface | Male   | Councillor       | Mawanda        |

The Councilors who held office during the year from 21<sup>st</sup> August 2021 to 31<sup>st</sup> December 2021 were:

| S/N | NAME               | GENDER | POSITION         | WARD           |
|-----|--------------------|--------|------------------|----------------|
| 1   | Patrick Banda      | Male   | Chairperson      | Not applicable |
| 2   | Anna Njobvu M      | Female | Vice Chairperson | Lutwazi        |
| 3   | Nason Chirwa       | Male   | Councillor       | Chisangu       |
| 4   | John Phiri         | Male   | Councillor       | Ukwimi         |
| 5   | Nkhata G. Salulani | Male   | Councillor       | Mawanda        |
| 6   | Martin Tembo       | Male   | Councillor       | Lusangazi      |
| 7   | Cosmas Mwanza      | Male   | Councillor       | Mateyo Mzeka   |
| 8   | Enos Manda         | Male   | Councillor       | Singonzi       |
| 9   | Stephen T.,K Phiri | Male   | Councillor       | Mdonsa         |
| 10  | Jacob Zulu         | Male   | Councillor       | Chingolo       |
| 11  | Henry Lungu        | Male   | Councillor       | Chikowa        |
| 12  | Geoffrey Daka      | Male   | Councillor       | Nyakawise      |

The district had two (2) elected Members of Parliament, one held Office up to July 2021 and the other one from August 2021 as the year under review was the year of Elections. The district has one constituency only namely Msanzala Constituency. The Members of Parliament that held office during the year were:

## REPORT OF THE COUNCIL

### Composition of the Council

| Period     | NAME            | GENDER | CONSTITUENCY |
|------------|-----------------|--------|--------------|
| 01/07/2021 | Hon. Peter Daka | Male   | Msanzala     |
| 01/08/2021 | Hon. Elias Daka | Male   | Msanzala     |

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Godwin Sekelani Phiri was the District Commissioner for Lusangazi District.

### The Council Secretariat

The Secretariat of Lusangazi Town Council was headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission. The Council Secretary was assisted by Five (5) Chief Officers responsible for Finance, Planning, Works, Human Resource and Administration and two (2) units namely; Procurement and Internal Audit.

### Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendment) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

### Financial Results

|                                                | 2021<br>Kwacha   | 2020<br>Kwacha |
|------------------------------------------------|------------------|----------------|
| Cash Receipts                                  | 16,077,649       | 9,774,559      |
| Payments                                       | 14,814,623       | 8,788,555      |
| Increase/decrease in Cash and Cash Equivalents | <u>1,263,026</u> | <u>986,004</u> |

## REPORT OF THE COUNCIL

### Key Policies Adopted During the Year

The Council adopted the following policies during the year 31<sup>st</sup> December 2021:

- Information Technology system policy
- Management Debt Policy
- Asset Disposal Policy
- Continuity plan and Disaster Recovery

### Related Party Transactions

There were no related party transactions during the financial year 31<sup>st</sup> December 2021.

### Property, Plant and Equipment

The council during the year spent K1,425,454 on Property Plant and Equipment. No disposals were done during the period under review.

### Intangible Assets

No intangible assets were purchased or disposed of during the year 31<sup>st</sup> December 2021.

### Employees

The average number of employees during the year was 57. The total amount spent on employees' remuneration and welfare during the year was K5,104,414.

### Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

### Recreation

The Council during the financial year ended 31<sup>st</sup> December 2021 did not incur any ngwee towards the sponsoring of various sporting activities.

### Corporate Social Responsibility

The Council made donations during the year amounting to K1,500 towards the support of various socially responsible causes.

### Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council.

Signature .....

Name.....

Position: Council Chairperson

Date: 11 - 06 - 2023



## STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lusangazi Town Council is responsible for preparing the financial statements for the year ended 31<sup>st</sup> December, 2021 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lusangazi Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Lusangazi Town Council for the financial year ended 31<sup>st</sup> December, 2021.

Signed on behalf of the Council on .....

Name: Blackson Tembo

Signature: [Signature]

Position: Chairman

Name: M. Masire

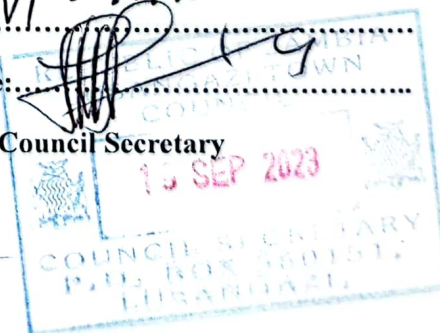
Signature: [Signature]

Position: Council Secretary

Name: Supalo Rayama

Signature: [Signature]

Position: Town Council





**REPUBLIC OF ZAMBIA  
OFFICE OF THE AUDITOR GENERAL**

**INDEPENDENT AUDITOR'S REPORT**

**STAND No. 7951  
HAILE SELASSIE AVENUE  
LONGACRES  
P.O BOX 50071  
LUSAKA, ZAMBIA**

**E-mail: [auditorg@ago.gov.zm](mailto:auditorg@ago.gov.zm)  
Website: [www.ago.gov.zm](http://www.ago.gov.zm)  
Telephone: +260252611/252771**

To: The Minister – Ministry of Local Government and Rural Development

**Report on the Audit of the Financial Statements of Lusangazi Town Council**

**Opinion**

I have audited the financial statements of the Lusangazi Town Council for the financial year ended 31<sup>st</sup> December, 2021 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 10 to 33.

In my opinion, the accompanying financial statements of Lusangazi Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31<sup>st</sup> December, 2021 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

**Basis for Opinion**

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Lusangazi Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA  
OFFICE OF THE AUDITOR GENERAL**

**Emphasis of Matter**

I draw attention to part 1.1 of the summary of significant accounting policies to the financial statements which describes the roadmap of the Council to adoption of Accrual Basis Financial Reporting Framework as result of which the Council has not produced Accrual Basis type of financial statements required by the Local Government Act No. 2 of 2019.

My opinion is not qualified in respect of this matter.

**Responsibilities of Management and Those Charged with Governance for the Financial Statements**

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No. 2 of 2019 1, the Public Finance Management Act No. 1 of 2018 and Local Authorities Accounting Policies (LAAPs), and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Council or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Council's financial reporting process.

**Auditor's Responsibilities for the Audit of the Financial Statements**

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.



**REPUBLIC OF ZAMBIA  
OFFICE OF THE AUDITOR GENERAL**

- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Council to cease to continue as a going concern.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.



Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE  
**ACTING AUDITOR GENERAL**  
**OFFICE OF THE AUDITOR GENERAL**

DATE:.....19/06/2023.....

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31<sup>ST</sup> DECEMBER 2021**

|                                    | Note | 2021<br>Kwacha    | 2020<br>Kwacha   |
|------------------------------------|------|-------------------|------------------|
| <b>RECEIPTS</b>                    |      |                   |                  |
| Local taxes                        | 2    | 6,530             | 5,835            |
| Fees and Charges                   | 3    | 1,691,405         | 863,937          |
| Licences                           | 4    | 32,595            | 36,181           |
| Levies                             | 5    | 119,249           | 85,520           |
| Permits                            | 6    | 33,074            | 16,500           |
| Local Government Equalisation Fund | 7    | 6,781,350         | 6,843,190        |
| Constituency Development Fund      | 8    | 1,600,000         | 800,000          |
| Other Grants                       | 9    | 200,000           | 370,000          |
| Borrowings                         | 10   | -                 | -                |
| Commercial Venture                 | 11   | -                 | -                |
| Other Receipts                     | 12   | 5,613,446         | 753,396          |
| <b>TOTAL RECEIPTS</b>              |      | <b>16,077,649</b> | <b>9,774,559</b> |
| <b>PAYMENTS</b>                    |      |                   |                  |
| Personnel Emoluments               | 13   | 5,104,414         | 4,382,094        |
| Use of goods and services          | 14   | 2,010,140         | 1,935,160        |
| Financial Charges                  | 15   | 31,079            | 36,989           |
| Social benefits                    | 16   | -                 | -                |
| Non-financial assets acquisition   | 17   | 1,425,454         | 1,302,167        |
| Financial Assets                   | 18   | -                 | -                |
| Loan Repayments                    | 19   | -                 | -                |
| Other payments                     | 20   | 6,243,536         | 1,132,145        |
| <b>TOTAL PAYMENTS</b>              |      | <b>14,814,623</b> | <b>8,788,555</b> |
| <b>Increase/(decrease) in Cash</b> |      | <b>1,263,026</b>  | <b>986,004</b>   |
| <b>Foreign Exchange Losses</b>     | 21   | -                 | -                |
| Cash at beginning of the year      | 22   | 1,144,998         | 158,994          |
| <b>Cash at the end of the year</b> | 22   | <b>2,408,024</b>  | <b>1,144,998</b> |

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature.....

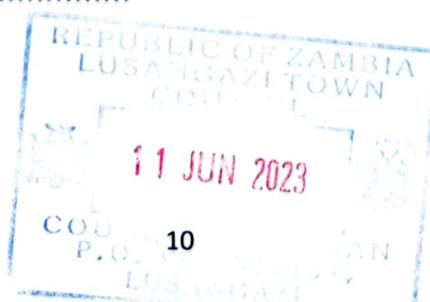
Position: Council Chairperson

Signature.....

Position: Council Secretary

Signature.....

Position: Council Treasurer



**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31<sup>ST</sup> DECEMBER 2021**

|                                    | Original<br>Budget<br>Kwacha | Adjustments<br>Kwacha | Final Budget<br>Kwacha | Actual<br>Amounts<br>Kwacha | %<br>Performance | Variance<br>Kwacha | % Variance  |
|------------------------------------|------------------------------|-----------------------|------------------------|-----------------------------|------------------|--------------------|-------------|
| <b>RECEIPTS</b>                    |                              |                       |                        |                             |                  |                    |             |
| Local taxes                        | 7,860                        | -                     | 7,860                  | 6,530                       | 83%              | (1,330)            | -17%        |
| Fees and Charges                   | 1,646,150                    | 805,000               | 2,451,150              | 1,691,405                   | 69%              | (759,745)          | -31%        |
| Licences                           | 28,050                       | -                     | 28,050                 | 32,595                      | 116%             | 4,545              | 16%         |
| Levies                             | 112,080                      | -                     | 112,080                | 119,249                     | 106%             | 7,169              | 6%          |
| Permits                            | 41,040                       | -                     | 41,040                 | 33,074                      | 81%              | (7,966)            | -19%        |
| Local Government Equalisation Fund | 6,869,760                    | -                     | 6,869,760              | 6,781,350                   | 99%              | (88,410)           | -1%         |
| Constituency Development Fund      | 800,000                      | 800,000               | 1,600,000              | 1,600,000                   | 100%             | -                  | 0%          |
| Other Grants                       | 350,000                      | -                     | 350,000                | 200,000                     | 57%              | (150,000)          | -43%        |
| Borrowings                         | -                            | -                     | -                      | -                           | 0%               | -                  | 0%          |
| Commercial Venture                 | -                            | -                     | -                      | -                           | 0%               | -                  | 0%          |
| Other Receipts                     | 27,000                       | -                     | 27,000                 | 5,613,446                   | 20791%           | 5,586,446          | 20691%      |
| <b>TOTAL RECEIPTS</b>              | <b>9,881,940</b>             | <b>1,605,000</b>      | <b>11,486,940</b>      | <b>16,077,649</b>           | <b>140%</b>      | <b>4,590,709</b>   | <b>40%</b>  |
| <b>PAYMENTS</b>                    |                              |                       |                        |                             |                  |                    |             |
| Personnel Emoluments               | 4,516,965                    | 60,000                | 4,576,965              | 5,104,414                   | 112%             | (527,449)          | -12%        |
| Use of goods and services          | 2,259,565                    | 1,545,000             | 3,804,565              | 2,010,140                   | 53%              | (1,794,425)        | -47%        |
| Financial Charges                  | 30,000                       | -                     | 30,000                 | 31,079                      | 104%             | (1,079)            | -4%         |
| Social benefits                    | -                            | -                     | -                      | -                           | 0%               | -                  | 0%          |
| Non-financial assets acquisition   | 2,173,952                    | -                     | 2,173,952              | 1,425,454                   | 66%              | (748,498)          | -34%        |
| Financial Assets                   | -                            | -                     | -                      | -                           | 0%               | -                  | 0%          |
| Loan Repayments                    | -                            | -                     | -                      | -                           | 0%               | -                  | 0%          |
| Other payments                     | 901,458                      | -                     | 901,458                | 6,243,536                   | 693%             | (5,342,078)        | -593%       |
| <b>TOTAL PAYMENTS</b>              | <b>9,881,940</b>             | <b>1,605,000</b>      | <b>11,486,940</b>      | <b>14,814,623</b>           | <b>129%</b>      | <b>(3,327,683)</b> | <b>-29%</b> |
| <b>Increase/(Decrease in Cash</b>  | <b>0</b>                     | <b>-</b>              | <b>0</b>               | <b>1,263,026</b>            |                  | <b>7,918,392</b>   |             |

The composition of budget adjustments and explanations of major variances are provided in note 23

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT  
EQUALISATION FUND (LGEF) FOR YEAR ENDED 31<sup>ST</sup> DECEMBER 2021**

|                                          |      | 2021<br>Kwacha   | 2020<br>Kwacha   |
|------------------------------------------|------|------------------|------------------|
| <b>RECEIPTS</b>                          |      |                  |                  |
| Funding                                  | 7(a) | 6,781,350        | 6,843,191        |
| <b>TOTAL RECEIPTS</b>                    |      | <b>6,781,350</b> | <b>6,843,191</b> |
| <b>PAYMENTS</b>                          |      |                  |                  |
| <b>Operational Expenditure Payments:</b> | 7(b) |                  |                  |
| Salaries and Wages                       |      | 5,104,414        | 4,375,643        |
| Terminal Benefits                        |      | -                | -                |
| Utility bills                            |      | -                | -                |
| Service Provision                        |      | 165,244          | 24,681           |
| Goods and Services                       |      |                  | 393,227          |
| Administrative Costs                     |      | 97,352           | 170,325          |
| Other Costs                              |      |                  | 493,553          |
| <b>Sub-Total</b>                         |      | <b>5,367,010</b> | <b>5,457,429</b> |
| <b>Capital Expenditure Payments:</b>     | 7(c) |                  |                  |
| Infrastructure Development               |      | 723,952          | 1,014,585        |
| Rehabilitation Works                     |      | -                | -                |
| Asset Acquisition                        |      | 350,000          | 217,845          |
| Other Costs(Borehole)                    |      | 43,921           |                  |
| <b>Sub-Total</b>                         |      | <b>1,117,873</b> | <b>1,232,430</b> |
| <b>TOTAL PAYMENTS</b>                    |      | <b>6,484,883</b> | <b>6,689,859</b> |
| <b>Increase/(decrease) in cash</b>       |      | <b>296,467</b>   | <b>153,332</b>   |
| Foreign Exchange Losses                  |      | -                | -                |
| Cash at beginning of the year            |      | 153,332          | -                |
| Cash at the end of the year              |      | <b>449,799</b>   | <b>153,332</b>   |

Note 7 explains the composition and other details relating to the various elements included in this Statement.

The closing balance on the statement of cash receipts and payments amounting to K449,799 for Local Government equalisation fund is in the capital account.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY  
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31<sup>ST</sup> DECEMBER 2021**

|                                    |      | <b>2021</b>      | <b>2020</b>    |
|------------------------------------|------|------------------|----------------|
|                                    |      | <b>KWACHA</b>    | <b>KWACHA</b>  |
| <b>RECEIPTS</b>                    |      |                  |                |
| Funding                            | 8(a) | 1,600,000        | 800,000        |
| Other sources                      | 8(b) | -                | -              |
| <b>TOTAL RECEIPTS</b>              |      | <b>1,600,000</b> | <b>800,000</b> |
| <b>PAYMENTS</b>                    |      |                  |                |
| Infrastructure Development         | 8(c) | 424,220          | -              |
| Rehabilitation Works               | 8(d) | 48,555           | 188,154        |
| Asset Acquisition                  | 8(e) | -                | -              |
| Administrative Costs               | 8(f) | 16,054           | 25,051         |
| <b>TOTAL PAYMENTS</b>              |      | <b>488,829</b>   | <b>213,205</b> |
| <b>Increase/(decrease) in Cash</b> |      | <b>1,111,171</b> | <b>586,795</b> |
| Cash at beginning of the year      |      | <b>586,795</b>   | -              |
| <b>Cash at the end of the year</b> |      | <b>1,697,966</b> | <b>586,795</b> |

Note 8 explains the composition and other details relating to the various elements included in this Statement.

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### 1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

#### 1.1 Migration to Accrual Basis Financial Reporting

Lusangazi Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

(a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

(b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31<sup>st</sup> December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1<sup>st</sup> January, 2022

(c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31<sup>st</sup> December 2019 up to 2021.

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1<sup>st</sup> January, 2022 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1<sup>st</sup> January, 2022 and should end on 31<sup>st</sup> December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

### 1.2 Reporting Entity

The Financial Statements are prepared for Lusangazi Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

### 1.3 Authorisation Date

The financial statements were authorized for issue on ..... by the ordinary/ special Council.

### 1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

#### a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorized Lusangazi Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### **b. Fees and Charges**

Section 27 (1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

### **1.5 Expenditure**

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

### **1.6 Reporting on Gross Basis**

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

### **1.7 Cash in hand at the Beginning and the End of the Year**

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short term high liquid investments having maturities of three months or less as cash equivalents.

### **1.8 Local Government Equalization Fund**

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received

## **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

### **1.9 Constituency Development Fund**

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

### **1.10 Other Grants**

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

### **1.11 Presentation Currency**

The presentation currency is Zambian Kwacha.

### **1.12 Foreign Currencies**

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

### **1.13 Borrowings**

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

### **1.14 Budgets and Actual Amounts**

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### 1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

#### i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- |                       |                      |
|-----------------------|----------------------|
| • Land                | Current Value        |
| • Buildings           | Cost or Market Value |
| • Plant and Equipment | Cost                 |

#### ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- Name of the entity
- Principal activity of the entity
- Percentage of shareholding in the entity
- Receipts in form of dividends and other returns on the investments

#### iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

#### iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- Associates being entities over which the Council has significant influence
- Individuals that have significant influence over the Council, and close members of the family of any such individual;
- Key management personnel, and close members of the family of key management personnel; and
- Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### 1.15 Encouraged Disclosures of Accrual Type of Items

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- |                       |                      |
|-----------------------|----------------------|
| • Land                | Current Value        |
| • Buildings           | Cost or Market Value |
| • Plant and Equipment | Cost                 |

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Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

## **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

The key management personnel of the Council are:

- (a) Chairperson, elected councillors, Co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

### **v. External Assistance**

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized. Lusangazi Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

### **vi. Payments to Third Parties**

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lusangazi Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

## NOTES TO THE FINANCIAL STATEMENTS

### 2. Local Taxes

During the year 31<sup>st</sup> December 2021, the Council generated local tax cash receipts as follows:

| Local Tax Type                | 2021         | 2020         |
|-------------------------------|--------------|--------------|
|                               | Kwacha       | Kwacha       |
| Residential Rates             | -            | -            |
| Industrial / Commercial Rates | -            | -            |
| Mining Rates                  | -            | -            |
| Personal Levy                 | 6,530        | 5,835        |
|                               | -            | -            |
| <b>TOTAL</b>                  | <b>6,530</b> | <b>5,835</b> |

### 3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

|                          | 2021             | 2020           |
|--------------------------|------------------|----------------|
|                          | Kwacha           | Kwacha         |
| Fees and charges         | 122,399          | 205,937        |
| Land Development Charges | 1,569,006        | 658,000        |
| <b>Total</b>             | <b>1,691,405</b> | <b>863,937</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### a. Fees and charges

The Council generated the following fees:

| <b>Fees and Charges Type</b>          | <b>2021</b>    | <b>2020</b>    |
|---------------------------------------|----------------|----------------|
|                                       | <b>Kwacha</b>  | <b>Kwacha</b>  |
| Consent Fees                          | 1,345          | -              |
| Survey Fees                           | -              | 500            |
| Building Inspection fees              | -              | -              |
| Plan Scrutiny Fees                    | -              | -              |
| Container/Ntemba fees                 | 3,772          | -              |
| Rentals/Lease of Council's properties | -              | -              |
| Application Form Fees                 | 34,090         | 121,476        |
| Sketch Fees                           | -              | -              |
| Search Fees                           | -              | -              |
| Market Fees                           | -              | -              |
| Parking Fees                          | -              | -              |
| Bus Station Fees                      | -              | -              |
| Affidavit Fees                        | 70             | 775            |
| Grave Reservation                     | -              | -              |
| Refuse Disposal Fees                  | -              | -              |
| Notice of Marriage                    | -              | -              |
| Registration of Suppliers             | -              | -              |
| Abattoir/Meat Inspection Fees         | -              | -              |
| Farm Produce Levy                     | -              | -              |
| Communication Mast Levy               | 35,000         | 45,000         |
| Land Record                           | -              | -              |
| Billboard and Banner                  | -              | -              |
| Lease of Council Transport            | -              | -              |
| Illegal Vending Fees                  | -              | -              |
| Penalties                             | 1,250          | -              |
| Site Rent                             | -              | -              |
| Change of ownership of plot           | -              | -              |
| Other Fees and Charges/other income   | 46,872         | 38,186         |
| <b>TOTAL</b>                          | <b>122,399</b> | <b>205,937</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### b. Land Development Charges

The Council collected the following land development related charges during the year ended 31<sup>st</sup> December 2021:

| Charges Type                        | 2021             | 2020           |
|-------------------------------------|------------------|----------------|
|                                     | Kwacha           | Kwacha         |
| Service charges - residential plots | 246,700          | 378,000        |
| Service charges - Industrial plots  |                  | 280,000        |
| Premium plots - Residential         | -                | -              |
| Premium plots - Commercial          | 306,900          | -              |
| Lease charges                       | -                | -              |
| Other                               | 1,015,406        | -              |
| <b>TOTAL</b>                        | <b>1,569,006</b> | <b>658,000</b> |

#### 4. Licenses

A total of K32, 595.00 cash receipts was raised from issuance of various licenses.

| Licence Type                   | 2021          | 2020          |
|--------------------------------|---------------|---------------|
|                                | Kwacha        | Kwacha        |
| Manufacturers licence          | -             | -             |
| Retail licence                 | 1,855         | 9,240         |
| Wholesale licence              | -             | -             |
| Occupancy licence              | -             | -             |
| Commercial travellers licence  | -             | -             |
| Hawkers licence                | -             | -             |
| Peddlers licence               | -             | -             |
| Stall licence                  | -             | -             |
| Liquor licence                 |               | 450           |
| Firearm and ammunition licence | 11,875        | 10,675        |
| Petroleum licence              | -             | -             |
| Restaurant licence             | -             | -             |
| Dog licence                    | -             | -             |
| Other licences                 | 18,865        | -             |
|                                |               | 15,816        |
| <b>TOTAL</b>                   | <b>32,595</b> | <b>36,181</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### 5. Levies

The Council generated cash receipts by charging levies as follows:

| Type of Levy         | 2021           | 2020          |
|----------------------|----------------|---------------|
|                      | <b>Kwacha</b>  | <b>Kwacha</b> |
| Livestock Levy       | 4,021          | 1,100         |
| Bird Levy            | 250            | 120           |
| Fish Levy            | -              | -             |
| Pole Levy            | -              | -             |
| Charcoal Levy        | 3,597          | 978           |
| Business Levy        | 37,875         | -             |
| Miscellaneous levies | 73,506         | 83,322        |
| <b>TOTAL</b>         | <b>119,249</b> | <b>85,520</b> |

### 6. Permits

The Council generated cash receipts from issuing various permits as follows:

| Type of Permit                      | 2021          | 2020          |
|-------------------------------------|---------------|---------------|
|                                     | <b>Kwacha</b> | <b>Kwacha</b> |
| Health Permit                       | 10,844        | 5,000         |
| Herbalist permit                    | 1,150         | -             |
| Fire Certificates                   | -             | 8,000         |
| Extension of business hours permits | -             | -             |
| Transportation of Opaque            | 10,000        | 3,500         |
| Other Permits                       | 11,080        | -             |
| <b>TOTAL</b>                        | <b>33,074</b> | <b>16,500</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### 7. Local Government Equalisation Fund

#### a. Funding

|              | 2021             | 2020             |
|--------------|------------------|------------------|
|              | Kwacha           | Kwacha           |
| January      | 572,480          | 572,480          |
| February     | 556,686          | 572,480          |
| March        | 571,671          | 559,195          |
| April        | 571,671          | 572,480          |
| May          | 571,671          | 572,480          |
| June         | 571,671          | 572,480          |
| July         | 547,683          | 559,195          |
| August       | 551,004          | 572,480          |
| September    | 555,884          | 572,480          |
| October      | 571,671          | 572,480          |
| November     | 569,630          | 572,480          |
| December     | 569,629          | 572,480          |
| <b>TOTAL</b> | <b>6,781,350</b> | <b>6,843,190</b> |

#### b. Operational Expenditure

The Council applied amounts totalling K5,367,010 of LGEF receipts towards meeting Operational expenses representing 79% of the total LGEF funding for the reporting period.

#### c. Capital Expenditure

The Council applied amounts totalling K1,117,873 of LGEF receipts towards meeting capital expenditure representing 17 % of the total LGEF funding for the reporting period. The amount was made up of K43, 921 as payment towards 2020 projects and K1,073,952 for the year under review. At the end of the year, an amount of K449,799 remained as closing balance under LGEF capital component the balance is for drilling of six (06) Boreholes for the year under review.

### 8. Constituency Development Fund

Statement of Cash Receipts and Payments for CDF under the period reviewed shows an amount of K1,600,000 having been received from the Parent council.

#### a) CDF Funding

|                      | 2021             | 2020           |
|----------------------|------------------|----------------|
|                      | Kwacha           | Kwacha         |
| Constituency         |                  |                |
| Msanzala             | 1,600,000        | 800,000        |
|                      | -                | -              |
| <b>Total Funding</b> | <b>1,600,000</b> | <b>800,000</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### b) Other CDF Sources of Funding

### c) Infrastructure Development

|                                      | 2021           | 2020     |
|--------------------------------------|----------------|----------|
| Constituency                         | Kwacha         | Kwacha   |
| M sanzala                            | 424,220        | -        |
|                                      | -              | -        |
| <b>Total Infrastructure payments</b> | <b>424,220</b> | <b>-</b> |

No Infrastructure development works were under taken during the year under review.

### d) Rehabilitation Works

|                                      | 2021          | 2020           |
|--------------------------------------|---------------|----------------|
| Constituency                         | Kwacha        | Kwacha         |
| M sanzala                            | 48,555        | 188,154        |
|                                      | -             | -              |
| <b>Total Rehabilitation payments</b> | <b>48,555</b> | <b>188,154</b> |

Rehabilitation works are still be carried for the constituency for year being reviewed.

### e) Asset Acquisition

No assets were acquired for the Constituency for the year being reviewed.

### f) Administrative Costs

|              | 2021          | 2020          |
|--------------|---------------|---------------|
| Constituency | Kwacha        | Kwacha        |
| M sanzala    | 16,054        | 25,051        |
|              | -             | -             |
| <b>Total</b> | <b>16,054</b> | <b>25,051</b> |

## 9. Other grants

During the year, the Council received the following grants:

| Revenue Source                   | 2021           | 2020           |
|----------------------------------|----------------|----------------|
|                                  | Kwacha         | Kwacha         |
| Grants in Lieu of Rates          | -              | -              |
| Grants from Cooperating Partners | -              | -              |
| Other                            | 200,000        | 370,000        |
| <b>TOTAL</b>                     | <b>200,000</b> | <b>370,000</b> |

## 10. Borrowings

The Council had no Borrowings during the year under review.

## NOTES TO THE FINANCIAL STATEMENTS

### 11. Council Commercial Venture

The were no receipts and payments under Council Commercial ventures incurred during the year under review.

### 12. Other Receipts

The Council did receive amounts totaling to K 5,613,446 in its various bank accounts that could be traced to the sources as below.

| Other Receipts                 | 2021             | 2020           |
|--------------------------------|------------------|----------------|
|                                | Kwacha           | Kwacha         |
| Sinozoche                      | 22,000           |                |
| Dc Lusangazi                   | 2,000            |                |
| Zifil                          |                  | 9,000          |
| Contributions                  |                  | 5,970          |
| Bid Document                   |                  | 1,000          |
| Borehole Contributions         | 45,500           | -              |
| Electoral Commission of Zambia | 5,543,946        | 737,426        |
| <b>TOTAL</b>                   | <b>5,613,446</b> | <b>753,396</b> |

Note: The other receipts for 2020 include funds received from electoral Commission of Zambia

### 13. Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

|                       | 2021             | 2020             |
|-----------------------|------------------|------------------|
|                       | Kwacha           | Kwacha           |
| Salaries Division I   | 1,968,051        | 2,002,454        |
| Salaries Division II  | 1,390,990        | 1,178,029        |
| Salaries Division III | 801,617          | 525,125          |
| Salaries Division IV  | 809,972          | 611,636          |
| Other Allowances      | 133,784          | 64,849           |
| <b>TOTAL</b>          | <b>5,104,414</b> | <b>4,382,093</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### 14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

| Expenditure Type                                          | 2021<br>Kwacha   | 2020<br>Kwacha   |
|-----------------------------------------------------------|------------------|------------------|
| Office Running Costs                                      | 123,371          | 103,205          |
| Building, Repair and Maintenance Costs                    | 12,208           | 8,539            |
| Plant, Machinery and Vehicle Running and Maintenance Cost | 286,626          | 268,240          |
| Other Administrative operating costs                      | 97,352           | 153,174          |
| Requisites                                                | 8,965            | 19,098           |
| Services                                                  | 1,060,924        | 820,071          |
| Travel expenses                                           | 386,189          | 493,328          |
| Training                                                  | 22,773           | 58,630           |
| Computer Software                                         | 11,732           | 10,875           |
| <b>TOTAL</b>                                              | <b>2,010,140</b> | <b>1,935,160</b> |

### 15. Financial Charges

The Council paid amounts totalling K31, 079.00 in financial charges.

|                           | 2021<br>Kwacha | 2020<br>Kwacha |
|---------------------------|----------------|----------------|
| Interest on Internal Debt | -              | -              |
| Interest on External Debt | -              | -              |
| Other Interest            | 31,079         | 36,989         |
| <b>TOTAL</b>              | <b>31,079</b>  | <b>36,989</b>  |

### 16. Social Benefits

Council did not incur any payment toward Social benefits on death on duty, burial, and other benefits during the year 31<sup>st</sup> December 2021.

## NOTES TO THE FINANCIAL STATEMENTS

### 17. Non-financial Asset Acquisition

Acquisition of assets involved the -following payments:

|                                                            | 2021             | 2020             |
|------------------------------------------------------------|------------------|------------------|
|                                                            | Kwacha           | Kwacha           |
| Building & Structures (Construction of Provisional Office) | 528,563          | 874,906          |
| Office Equipment                                           | 61,800           | 245,646          |
| Servicing of plots                                         | 299,991          | 160,065          |
| Borehole Drilling and Equipping                            | 46,000           |                  |
| Other Assets-office furniture                              | 5,500            | 21,550           |
| Land Dermacation                                           | 133,600          |                  |
| Procurement of a Motor Vehicle                             | 350,000          |                  |
| <b>TOTAL</b>                                               | <b>1,425,454</b> | <b>1,302,167</b> |

### 18. Financial Assets

There were no acquisition of financial assets during the year.

### 19. Loan Repayments

No Loan repayment occurred under the year being reviewed as council had no borrowings.

### 20. Other Payments

These relate to sundry items such as ...

|                                           | 2021             | 2020             |
|-------------------------------------------|------------------|------------------|
|                                           | Kwacha           | Kwacha           |
| Fixed Allowance                           | -                | -                |
| Statutory Contribution                    | 326,518          | 393,896          |
| Domestic Creditors                        | 344,771          |                  |
| Subscription                              | 14,374           | 14,750           |
| Electoral Comission of Zambia Expenditure | 5,557,873        | 723,499          |
| <b>TOTAL</b>                              | <b>6,243,536</b> | <b>1,132,145</b> |

Note: The electoral commission of Zambia expenditure has been included in the 2021 comparatives as indicated above

### 21. Foreign Exchange Losses

No transactions were made in other currencies and determined by reconciling opening cash to closing cash balances during the year 31<sup>st</sup> December 2021.

## NOTES TO THE FINANCIAL STATEMENTS

### 22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

|                  | 2021                    | 2020                    |
|------------------|-------------------------|-------------------------|
|                  | Kwacha                  | Kwacha                  |
| Cash on hand     | -                       | -                       |
| Demand Deposits  | 2,408,024               | 1,144,998               |
| Cash equivalents | -                       | -                       |
| <b>TOTAL</b>     | <b><u>2,408,024</u></b> | <b><u>1,144,998</u></b> |

Note: The cash balances for 2020 include a closing balance of K 13,927 as funds that remained for Electoral Commission of Zambia activities.

#### a. Cash on hand

There was no cash on demand made of cash collections and petty cash:

## NOTES TO THE FINANCIAL STATEMENTS

### b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31<sup>st</sup> December 2021:

| Account Name                       | Account No            | 2021<br>Kwacha   | 2020<br>Kwacha   |
|------------------------------------|-----------------------|------------------|------------------|
| District Fund A/c                  | Zanaco -5664520300496 | 3,802            | 60,305           |
| Salaries A/c                       | Zanaco-5664520300294  | 41,029           | 90,920           |
| Salaries Indo A/c                  | Indo                  | 20,637           | 6,521            |
| Capital Projects                   | Zanaco -5664520300295 | 449,799          | 221,757          |
| Grants A/c                         | Zanaco-5664520300193  | 100,421          | 100,577          |
| Msanzala Constituence A/C          | Zanaco-0567194300118  | 1,697,966        | 586,795          |
| Rural Water and Sanitation A/C     | Zanaco-5664520300601  | 44,355           | 554              |
| Land Development Fund A/c          | Zanaco                | 50,015           | 63,643           |
| Electoral Commission Of Zambia A/C | Zanaco-5664520300597  | -                | 13,926           |
| <b>TOTAL</b>                       |                       | <b>2,408,024</b> | <b>1,144,998</b> |

### c. Cash Equivalents

The Council had no treasury bills valued under the year 31st December 2021.

## NOTES TO THE FINANCIAL STATEMENTS

### 23. Budget Adjustments and Variances

#### a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 15<sup>th</sup> February, 2021 on Ministerial circular number MLG/71/1/91 Subsequent approved adjustments to the budgets consisted of approved supplementary provisions and approved budget reallocations as follows:

#### b. Budget Variances

- **Fees and Charges**

The Council planned to raise K2,451,150 in Fees and Charges but collected K1,691,405 representing 69% collection efficiency. This resulted in an adverse variance of K759, 745 representing 31%. This was as a result of the Council not given out plots as planned during the year under review.

- **Other receipts**

The Council budgeted to raise K27,000 on other receipts but received K5,613,446 representing 20791% collection efficiency. This resulted in a favourable variance of K5,586,446 representing 20691%. This was due to having received funds amounting to K5,543,946 from Electoral Commission of Zambia for election activities as well as K69,500 being income received from borehole drilling as community Contribution.

- **Other Grants**

The Council budgeted to raise K350,000 as other grants mainly from Central Government but received K200,000 representing a collection efficiency of 57%, which resulted into an adverse variance of K150,000 representing 43%. This adverse variance was due to central government having not sent the funds before the end of the financial year.

- **Use of Goods and services**

The council budgeted to spend K3, 804,565 on the use of goods and services but spent K2,010,140 representing a budget performance of 53%. This resulted in a favourable variance of K1,794,425 representing 47%. The variance was as a result of late funding of Constituency development fund which led to delays in the procurement processes for projects funded under Constituency development fund such as rehabilitation of health post and a primary school.

- **Non-Financial Asset Acquisition**

The Council planned to spend K2, 173,952 on Non-Financial Asset Acquisition but spent K1, 425,454 representing a budget performance of 66%. This resulted in a favorable variance of K748, 498 representing 34%. This was mainly due to the delays in procurement processes.

- **Other Payments**

The Council planned to spend K 901,458 on other payments but spent 6,243,536 representing a budget performance of 693%. This resulted into adverse variance of K5,342,078 representing 593%. The above adverse variance is attributed to Electoral commission of Zambia activities that where under during the year under review.

## NOTES TO THE FINANCIAL STATEMENTS

### 24. Provision of Services

The Council incurs expenditure of offering services, it is mandated to provide to the residents of the District.

| Type of Services                      | 2021<br>Kwacha   | 2020<br>Kwacha |
|---------------------------------------|------------------|----------------|
| COVID 19 Prevention                   |                  | 28,554         |
| Make Zambia Clean and Health Campaign |                  | 1,318          |
| HIV/AIDS Prevention                   |                  | 5,568          |
| Roads and Drainages                   | 299,991          | 92,820         |
| Parks, Zoos and Botanical Gardens     | -                | -              |
| Mangement of Council Buildings        | -                | -              |
| Ward Development Fund Projects        | 16,800           | -              |
| Procurement of Motor vehicle          | 350,000          | -              |
| Procurement of GPS                    | 52,000           | 150,000        |
| Boreholes and Water reticulation      | 46,000           | 160,065        |
| Other Services                        | 743,184          | 340,096        |
|                                       | <u>1,507,975</u> | <u>778,421</u> |

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

### 25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K 3,918,512.

|                        | Land<br>Kwacha | Land and<br>Buildings<br>Kwacha | Plant &<br>Machinery<br>Kwacha | Motor vehicles<br>Kwacha | TOTAL<br>Kwacha  |
|------------------------|----------------|---------------------------------|--------------------------------|--------------------------|------------------|
| Opening balance        | -              | -                               | -                              |                          | 2,972,649        |
| Additions              | -              | 528,563                         | 67,300                         | 350,000                  | 945,863          |
| Revaluation            | -              | -                               | -                              | -                        | -                |
| Re-classification      | -              | -                               | -                              | -                        | -                |
| Disposal               | -              | -                               | -                              | -                        | -                |
| <b>Closing balance</b> | <b>-</b>       | <b>528,563</b>                  | <b>67,300</b>                  | <b>350,000</b>           | <b>3,918,512</b> |

### 26. Investments in Other Entities

No investments in shares were held by the council during the period under review.

### 27. Administered Transactions

No collection were administered on behalf of Zambia Revenue Authority.

## NOTES TO THE FINANCIAL STATEMENTS

### 28. Related Party Disclosures

The following disclosures are made in the financial statements of Lusangazi Town Council:

#### a. Fringe benefits Disclosures

The Chairman was provided with a personal-to-holder car, an office and personal secretary.

#### b. Remuneration of the Councilors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lusangazi Town Council are:

|                        |          |
|------------------------|----------|
| Aggregate Remuneration | K396,000 |
| Number of persons      | 11       |

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

#### c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

|                        |            |
|------------------------|------------|
| Aggregate Remuneration | K1,968,051 |
| Number of persons      | 9          |

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

### 29. External Assistance

There was no external assistance received during the year.

### 30. Third Party Payments

No third party payments benefited from payments were made.